

HEADLINE JUDGMENT

Score HOLDS at 27/30 for a sixth consecutive edition. No channel moved. The 12 Aug row carries oil, gas, the dollar and the full **Treasury curve**; MOVE, VIX, SOFR, Asia LNG and both gasoline series have no print. The integrity check clears and it clears in a way that vindicates yesterday's judgement call: the 11 Aug row has refreshed with true closes, and **5Y5Y's 11 Aug field of 2.3414 — identical to the 10 Aug close to four decimals, and treated here as a stale carry rather than a reading — did in fact settle elsewhere, at 2.3360.** What happened in the last twenty-four hours is that **the closure stopped being an event and started being an assumption.** On 11 August the **EIA published its August Short-Term Energy Outlook and discarded the premise of its July edition**, which had assumed the 18 June memorandum reopened the strait. The new text assumes **'continued severe constraints on Strait of Hormuz transits... persist through August'** with flows only slowly recovering in September, and it **raised the 3Q26 Brent forecast from \$74 to \$85/bbl**, put 2026 average Brent at \$87, and cut its 2026 US commercial crude stock forecast 8.6% to 396 mn bbl. The US government's own statistical agency has now written a five-and-a-half-month blockade into its base case. Second, **the United States fired on a crewed merchant ship.** At 0758 on 11 August a US Navy MH-60 put two Hellfire missiles into the engine room of the Panama-flagged container vessel **Vela Nova** in the Gulf of Oman, 71 NM off Pakistan; UKMTO logged hits to the stern and steering compartment and the ship **'no longer under command'**, fire extinguished, no injuries. CENTCOM said it had ignored repeated warnings while sailing for an Iranian port and put the blockade at **55 vessels redirected, 3 disabled, 2 boarded.** Trump, hours later: **'We have total control over the Hormuz Strait right now... We own it.'** Third, **Iran's terms went up rather than down:** new SNSC secretary Mohsen Rezaei added a condition absent from last week's six — **a region-wide ceasefire including Lebanon and Gaza** — and said the strait stays shut until all of them are met. Fourth, **the war took its first shipping fatalities:** the Tihamah was hit by three ballistic missiles off Al Mokha and a fourth struck the rescue, killing six. Cutting the other way, the auction leg opened well — **the 3-year stopped through 0.5 bp on a 2.71x cover** — but the 10-year prices this afternoon four hours after July CPI, the 30-year tomorrow, and **Threshold B is satisfied on a second consecutive close.** Brent closed **\$86.62**, the highest since 31 July, and trades \$86.95 this morning. **Correction carried at the top: the claim that Oman has published nothing since 23 June is wrong** — see §7. Sequencing 27 → 27 → 27 → 27 → 27.

1 · Live tape

Oil and natural gas — Bloomberg front-month / active

12 Aug 2026 readings are intraday prints from the Singapore morning. The 11 Aug row is a confirmed close and the integrity check clears. d/d is 12 Aug intraday vs the 11 Aug close; w/w is vs the 5 Aug close (five sheet-rows back); vs-pre-war is against the 27 Feb 2026 close. Restated continuation series (front-month CO2/CL2) in force.

Benchmark	Intraday 12 Aug	Δ d/d	Δ vs pre-war close (27 Feb)	BBG ticker
Brent front-month	\$86.95 /bbl (H 87.59 / L 86.77)	+\$0.33 (+\$9.09 w/w)	from \$72.48 (+20.0%) — a \$14.47/bbl premium and the first time this monitor has recorded a round 20% war premium on the scored series. The detail that matters is the range: the session LOW of 86.77 sits ABOVE yesterday's 86.62 close , so the market gapped up and has held the gap in an 82-cent band. That is accumulation, not a spike. Active COA prints \$89.38	CO2 Comdty (Close)
Brent · 11 Aug close (last confirmed)	\$86.62 /bbl	+\$0.73 vs the 10 Aug close \$85.89	The highest close since 31 Jul (\$87.93) and a second consecutive advance, extending Monday's \$4.24 move rather than fading it. It sits \$8.38 below the \$95 upgrade trigger and \$14.14 above the \$72.48 downgrade anchor — against \$9.11 and \$13.41 yesterday. The upgrade gap has closed 73 cents in one session and the downgrade gap has widened by the same. Still \$31.73 below the 31 Mar war high of \$118.35	CO2 Comdty (Close)
WTI front-month	\$82.29 /bbl	+\$0.34 (+\$8.24 w/w)	from \$67.02 (+22.8%) — the 11 Aug close of \$81.95 was up \$0.79. WTI is now up \$8.24 on the week against Brent's \$9.09, so the waterborne benchmark continues to lead. CLA prints \$83.68 against CL2's \$82.29; the continuation artifact persists	CL2 Comdty (Close)
Brent–WTI spread	\$4.66 /bbl	wider by \$0.07 on the day	\$5.70 on the active contracts (COA \$89.38 / CLA \$83.68) — wider again and the widest active spread this monitor has recorded since 31 Jul. The spread has now widened on four of the last five sessions. This is the cleanest single price in the document: a Hormuz-specific dislocation puts the premium on the seaborne barrel and leaves the landlocked one behind, and the gap has grown every day the strait has stayed shut this week	derived
Henry Hub natural gas	\$2.777 /MMBtu	+\$0.010 (+\$0.089 w/w)	from \$3.06 (–9.3%) — still BELOW pre-war and 13.7 cents above the \$2.640 war low of 6 Aug . The EIA cut its 3Q26 Henry Hub forecast 50 cents to \$2.87/MMBtu in yesterday's STEO. US gas remains the cleanest evidence that this is a Hormuz-routing shock rather than a global-energy shock, and the agency now forecasts it staying that way	NGA Comdty (Close)
TTF Dutch gas (active)	€59.905 /MWh	+€1.170 (+€7.501 w/w)	from €31.23 (+91.8%) — the 11 Aug close of €58.735 was down €2.063 , giving back a third of Monday's €5.254 surge, and this morning takes most of it back. The 24 Jul war record of €63.649 is €3.744 away. European gas is the most volatile series in this document and it is trading the reopening headlines directly	TZTA Comdty (Close)

Benchmark	Intraday 12 Aug	Δ d/d	Δ vs pre-war close (27 Feb)	BBG ticker
Japan/Asia LNG (10 Aug close — no 11 or 12 Aug print)	¥3,359	no print for two sessions	from ¥1,669 (+101.3%) — a second consecutive dark session , flagged and NOT carried forward as a reading. The last print fell ¥58 from the 7 Aug ¥3,417 while TTF and crude rose, and that divergence is now two sessions old and unrefreshed. Hormuz still moves roughly a fifth of global LNG	JGLA Comdty (Close)

US Treasuries and inflation expectations — Bloomberg

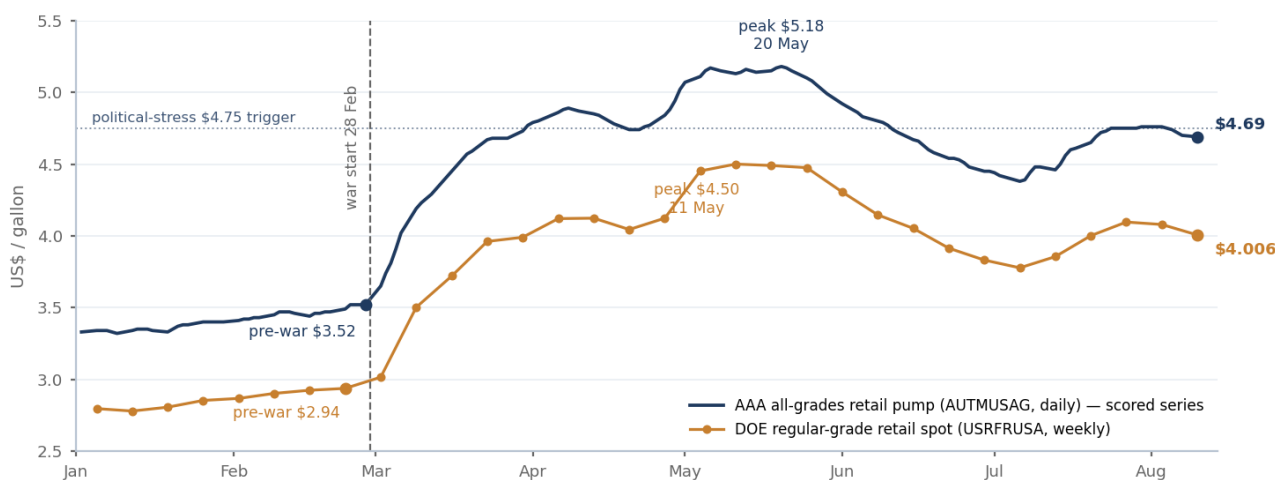
The curve printed today. After a blank 11 Aug row, every tenor, the 2s10s spread and both inflation measures carry a 12 Aug intraday value; MOVE, VIX and SOFR still do not. Triggers and Stage-4 tests below are judged on the **11 Aug close**, which is confirmed. d/d in this table is 12 Aug intraday vs the 11 Aug close; the 11 Aug close itself is given in the commentary column with its own move against 10 Aug. The whole curve is marginally LOWER this morning — a quiet, orderly session ahead of CPI and the 10-year.

Tenor	Intraday 12 Aug (%)	Δ d/d (bp)	11 Aug close	Δ vs pre-war (bp) and commentary	BBG ticker
2-year UST	4.2137	−0.01	4.2138	+83.9 (from 3.37%) — unchanged to a hundredth of a basis point from yesterday's close, which was itself down 2.72 bp. The front end has stopped moving entirely while it waits for the CPI print. Note this is NOT a stale-carry signature: the rest of the curve moved and the 2Y differs at the fourth decimal	USGG2YR Index
5-year UST	4.3835	−0.53	4.3888	+88.2 (from 3.50%) — still the largest vs-pre-war gap anywhere on the curve. The 11 Aug close fell 2.30 bp	USGG5YR Index
10-year UST	4.6823	−0.60	4.6883	+74.5 (from 3.94%) — the 11 Aug close held ABOVE the 4.65% Stage-4 leg by 3.83 bp for a second consecutive session, having fallen 1.84 bp. \$42bn of 10-years price this afternoon, four hours after July CPI ; the July reopening drew an exceptional 81.5% indirect bid at 4.580%	USGG10YR Index
30-year UST	5.2306	−0.97	5.2403	+62.0 (from 4.61%) — the 11 Aug close held ABOVE the 5.20% Stage-4 leg by 4.03 bp, is 19.03 bp above the 13 May auction stop and 24.03 bp above the 5.00% downgrade line. It fell 1.07 bp, the smallest decline on the curve, which is the wrong kind of resilience 24 hours before a \$25bn refunding leg	USGG30YR Index
2s10s spread	+46.652 bp	−0.39	+47.039	−9.0 (still flatter than pre-war) — the 11 Aug close of +47.039 was the steepest since 21 May (+48.448), a third consecutive steepening. The curve has steepened through a bull session, a bear session and now a flat one, which points at term premium rather than at a Fed view	USYC2Y10 Index
10Y breakeven inflation	2.2621	−0.22	2.2643	+0.5 (from 2.2569%) — a third consecutive close above the pre-war anchor , but only just, and the margin has narrowed from 1.86 bp on 10 Aug to 0.52 bp this morning. Spot compensation is drifting back toward the anchor while the forward is not	USGGBE10 Index
5Y5Y forward inflation	2.3337	−0.23	2.3360	+19.2 (from 2.14%) — the 11 Aug close was a TENTH consecutive close above the 2.30% trigger that fired this channel 4→5 on 31 Jul, clear by 3.60 bp, and 2.37 bp below the 2.3597% war record. The run began on 29 Jul. It sits 19.40 bp above the 2.142% anchor at which the downgrade lives	USGG5Y5Y Index
SOFR (no print 11 or 12 Aug)	—	—	no print	last printed 3.62 on the 7 Aug close, itself a backfill. Three consecutive dark sessions , flagged and NOT carried as fresh	SOFRRATE Index

Cross-asset stress and political-transmission gauges — Bloomberg

Gauge	Latest	As of	Δ vs pre-war	Interpretation
DXY	99.880	12 Aug intraday	+2.27 (from 97.61)	Up 0.052 after an 11 Aug close of 99.828, itself up only 0.017. The dollar has traded in a 5-cent band for three sessions while Brent has risen \$9.09 on the week. It is +0.20 w/w and continues to behave as a US-rates proxy, not a haven. Nothing in the currency is pricing the strait.
MOVE	77.92	11 Aug close (no 12 Aug print)	+4.54 (from 73.38)	Up 2.46 on the session and the highest close since 3 Aug (80.48). This is the number to read carefully. On 7 August MOVE closed 72.03, the lowest since 17 July, satisfying the volatility leg of the Treasury downgrade; it has now risen on two consecutive sessions and sits 2.92 points ABOVE the 75 line and 5.89 above that Friday close. The leg is not narrowly missed — it has been abandoned. It remains 52.08 pts below the 130 Stage-4 Threshold C.
VIX	15.28	11 Aug close (no 12 Aug print)	-4.58 (from 19.86)	Down 0.18, holding within 38 cents of the 14.90 war low set on 7 Aug. Equity volatility did not react to a US missile strike on a merchant ship, six deaths on a cargo vessel in Bab al-Mandeb, or an \$11 upward revision to the EIA's oil forecast. The dispersion between what the oil curve is pricing and what equity vol is pricing is the widest this monitor has recorded.
AAA gasoline	\$4.69 /gal	10 Aug print (11–12 Aug blank)	+\$1.17 (from \$3.52, +33.2%)	Political-stress score reference. The 10 Aug print BACKFILLED at \$4.69 — a fourth consecutive close below the \$4.75 trigger and a SIXTH consecutive decline (\$4.76 / \$4.75 / \$4.74 / \$4.72 / \$4.70 / \$4.69). It is now 9 cents from the downgrade condition named in the last edition. But the decline is decelerating — one cent, against two the day before — the series is dark for 11 and 12 Aug, and \$9.09 of weekly crude has not reached the pump. Basis note: all-grades, not the regular-grade average AAA publishes, which printed \$4.0116 on 11 Aug.
DOE gasoline	\$4.006 /gal	10 Aug weekly print (NEW)	+\$1.07 (from ~\$2.94, +36.4%)	Corroboration only. The week-to-10-August print has now posted at \$4.006, down 7.3 cents from \$4.079. It matches the EIA's published retail survey figure to the tenth of a cent, and AAA's own regular-grade average of \$4.0116 on 11 Aug independently corroborates the level. The exception is diesel, which ROSE 2.17 cents on 11 Aug to \$5.3213 after falling for a week — the refining-constrained leg turning first.

US retail gasoline — the two tracked series, 2026 year-to-date



AUTMUSAG (AAA all-grades retail pump, daily) is the political-stress score reference (pre-war \$3.52, peak \$5.18, latest confirmed print **\$4.69 on 10 Aug, backfilled in this extract**; 11 and 12 Aug blank); USRFRUSA (DOE regular-grade retail spot, weekly) is corroboration only (pre-war ~\$2.94, peak \$4.50, latest **\$4.006 for the week to 10 Aug, a new print** from \$4.079). Both series now turn down at the right-hand end, and this is the first edition in which they do so together. The dotted line is the \$4.75 political→5 threshold: \$4.76 on 30 and 31 Jul and 3 Aug fired and reinforced the upgrade, then six consecutive declines walked the scored series through it to \$4.69. **That is 9 cents from the \$4.60 condition named in the last edition.** What the chart cannot show is the \$9.09 of weekly crude that has not yet reached the pump, and that the last decline was one cent rather than two.

Strait operational state

Indicator	Current reading	Source
Strait closed · day 164 — and FOUR credible sources give four different transit counts for 10 August	Closed since 28 Feb. UKMTO Update 083 of 11 Aug has been retrieved (081 still not; 084 not yet published) and holds Hormuz at SEVERE, 'deliberate hostile action highly likely' , with Gulf of Oman, Bab el-Mandeb and Gulf of Aden SUBSTANTIAL and the Arabian Gulf MODERATE — all unchanged from Update 082. Its own annex (S&P/SeaVision, vessels over 1,000 dwt, excluding Iranian port calls) gives Hormuz transits of 10 on 8 Aug, 3 on 9 Aug and 4 on 10 Aug — and separately records 42 US NCAGS-facilitated transits over the 9–10 Aug 48 hours . Against that: Kpler via Reuters counts 6 crossings on 10 Aug against a 10-day average of about 11 and a pre-war ~130–140/day ; Kpler via ABC counts 8; Windward counts 7 in the 24h to 9 Aug. These are four different vessel universes and must not be averaged or spliced . The one number that is comparable week on week is Kpler's own: 15 on 7 Aug, 11 on 8 Aug, 6 on 9 Aug.	UKMTO Update 083 (11 Aug) / Kpler via Reuters and ABC / Windward MIOC
THE US FIRED ON A CREWED MERCHANT SHIP INSIDE THE BLOCKADE ON 11 AUGUST	UKMTO logged it at 0758 on 11 Aug : the Panama-flagged container ship Vela Nova , westbound in the Gulf of Oman in international waters 71 NM off the coast of Pakistan , reported hit by a missile from a helicopter; master confirmed hits to the stern and steering compartment , vessel 'no longer under command' , fire extinguished, all crew accounted for, no injuries . CENTCOM said a US Navy MH-60 fired two Hellfire missiles into the engine room , disabling the steering gear, after the ship ignored repeated warnings while sailing toward an Iranian port, and gave the blockade's cumulative tally as 55 vessels redirected, 3 disabled, 2 boarded . Reuters independently verified the vessel identity. Trump the same day: 'We have total control over the Hormuz Strait right now... We own it.'	UKMTO / CENTCOM / Reuters / Al Jazeera / Stars and Stripes, 11 Aug
THE WAR TOOK ITS FIRST SHIPPING FATALITIES — AND THE SECOND STRIKE HIT THE RESCUE	The Egyptian-owned, Tanzanian-flagged general cargo ship Tihamah , carrying food and stationary in Yemeni waters about 5 NM off Al Mokha , was struck midships by three ballistic missiles on 11 Aug. Four crew were killed — three Pakistani, one Indonesian . UKMTO records that 'the Yemeni navy went to assist and came under fire' ; a further missile struck the rescue operation, killing two members of the government-allied National Resistance Forces. Six dead in total, about ten wounded, in a double-tap pattern . Al Jazeera assesses these as the first deaths from Houthi strikes on shipping since the war on Iran began . The Houthis have NOT claimed it; SABA (Tier 3) reported an attack on 'a Saudi ship carrying military equipment' without naming a vessel, which the flag, ownership and cargo contradict.	UKMTO WARNING 110-26 / Yemeni Transport Ministry via Al Jazeera, France 24, AP / SABA (Tier 3)
IRAN'S CONDITIONS EXPANDED — A REGION-WIDE CEASEFIRE INCLUDING GAZA AND LEBANON	Mohsen Rezaei, installed as SNSC secretary on 9 Aug in place of Zolqadr , told China's ambassador in Tehran on 11 Aug: 'As long as the US does not change its behaviour and accept Iran's conditions, the Strait of Hormuz will not be reopened.' He then published a condition absent from the six issued a week ago : the strait stays shut until the US ends the war and blockade, releases frozen assets and agrees to a region-wide ceasefire, including in Lebanon and Gaza . He separately reaffirmed that any Iran–Oman route agreement is 'separate' from reopening. Washington offered no immediate comment. The Hormuz fee bill has NOT reached the floor and the Guardian Council has not acted ; it remains at commission stage.	Reuters via Al Jazeera, 12 Aug / Tasnim (Tier 3) / Iran International
A fourteenth session with no confirmed strike inside Iran — and mediators calling it 'critical'	No Tier 1 outlet reported a US or Israeli strike inside Iran on 11 or 12 Aug . CENTCOM's public release index still shows no combat release since 29 July; the Vela Nova statement came via its X account rather than the index. Al Jazeera characterises the period as one of 'relative calm... with attacks mostly paused since a 13-day escalation in July' . UKMTO Update 083 records no confirmed attack INSIDE the strait in the 9–11 Aug window — incidents rose 84 to 86 and both were outside it. Meanwhile Qatar's Majed al-Ansari called the Iran–Oman talks 'at a critical point' with 'positive statements from both capitals', and Pakistan's Mohsin Naqvi met Pezeshkian and Araghchi in Tehran on 11 Aug , with Defence Minister Asif saying the sides were nearing 'some sort of an arrangement'.	CENTCOM / UKMTO 083 / Al Jazeera / ABC News / Bloomberg / AFP, 11–12 Aug

2 · US economic shock — analysis with bond yields

The score holds at 27/30 for a sixth consecutive edition and no channel moved, and the reason to read past the number this week is different from last week's. Last week the composition inverted. **This week the closure was institutionalised.** On 11 August the Energy Information Administration published its August Short-Term Energy Outlook and abandoned the assumption on which its July edition rested — that the 18 June memorandum had reopened the strait. The new text assumes **'continued severe constraints on Strait of Hormuz transits... persist through August'**, with flows increasing only slowly in September, and it raised **3Q26 Brent from \$74 to \$85/bbl**, set 2026 average Brent at \$87, put **2Q26 Hormuz liquids flows at 4.9 mb/d against 21.6 mb/d in 4Q25 — about 23% of the pre-conflict baseline** — and estimated July production shut-ins at 5.5 mb/d. It also cut its 2026 US commercial crude stock forecast by 8.6% to 396 mn bbl and raised its wholesale diesel forecast 8.5%. None of this moves a channel. All of it changes what the channels are measuring: for four months this monitor has been scoring a disruption, and the US government's own forecaster has now written a five-and-a-half-month blockade into its base case and pushed the recovery into 2027, with **about 0.6 mb/d of disruption persisting through end-2027**. Against that, the day's two kinetic events both cut in the same direction and neither was Iranian: **the United States disabled a crewed merchant ship with Hellfire missiles, and six people were killed on a food carrier in Bab al-Mandeb in a strike that deliberately targeted the rescue**. The war is now killing civilian mariners and the score cannot register it, because maritime and escalation have been pinned at 5/5 since early July. A flat 27 is a saturated scale.

2.1 · Bond-yield transmission

The full curve printed on 12 Aug; MOVE, VIX and SOFR did not. Every trigger below is judged on the confirmed 11 Aug close. No channel moved. Score holds at 27/30.

(i) **Treasury — held at 5 (max), and the volatility leg has now been abandoned rather than narrowly missed.** This channel's downgrade needs a 30Y close below 5.00% together with MOVE below 75, sustained. Five days ago the second leg was satisfied: **MOVE closed 72.03 on 7 August, the lowest since 17 July**, on a payrolls print of -23,000. It has risen on both sessions since — 75.46 on Monday, then **77.92 on 11 August, the highest close since 3 August and 5.89 points above that Friday low**. The standing interpretation recorded in the last edition — that a leg satisfied by one macro session is not sustained — is no longer a caution about over-reading; it is simply what happened, for the third time. The first leg is nowhere: the 30Y closed **5.2403%, 24.03 bp above the 5.00% line**, and eased only 1.07 bp on a day the rest of the curve fell more. What matters for this channel is the calendar, and the first of three tests passed cleanly. **The \$58bn 3-year on 11 August stopped through by 0.5 bp at 4.291% against a 4.296% when-issued, on a 2.71x cover against a 2.61x six-auction average**, with directs at 24.0% and dealers taking only 11.8% — a domestically-bid, well-covered auction. That is one leg of \$125bn. **\$42bn of 10-years prices this afternoon four hours after July CPI, and \$25bn of 30-years tomorrow**, with the 30Y 19.03 bp above the 13 May stop and Threshold B satisfied going in.

(ii) **Oil — held at 2, and the upgrade gap closed another 73 cents.** Brent's 11 August close of \$86.62 is the highest since 31 July and leaves the channel **\$8.38 below the \$95 upgrade trigger and \$14.14 above the \$72.48 downgrade anchor**, against \$9.11 and \$13.41 yesterday and \$17.14 and \$5.38 a week ago. This morning's \$86.95 is the sort of print that matters more than its size: **the session low of \$86.77 sits above yesterday's close**, so the market has gapped up and held rather than spiked and faded. What changed underneath is not the news flow but the official forecast. **The EIA raised 3Q26 Brent by \$11 to \$85/bbl and now assumes the constraint runs through August**; it put Hormuz liquids flows at 4.9 mb/d in 2Q26 against 21.6 mb/d in 4Q25, and it expects about 0.6 mb/d of disruption still present at the end of 2027. Physical corroboration is unchanged and unhelpful: Kpler counted six crossings on Monday against its own 10-day average of about eleven; **Kharg Island's three loading terminals have now been idle between 10 and 22 days depending on the terminal**, with no departures since 31 July and 17 dark tankers waiting; Jizan's 400k b/d restart is out to 30 August; and the SPR is below 300 mn bbl for the first time since January 1983. One counterweight, and it is real: **the API reported a surprise 9.07 mn bbl crude build for the week to 7 August against an expected 0.5 mn draw**. The EIA weekly lands today. The channel does not move on any of this — the upgrade requires a sustained close above \$95 — but oil remains the only channel with room to raise this score, and it has moved toward that room on six of the last seven sessions.

(iii) **Escalation risk — held at 5 (max), and the terms of settlement moved further apart, not closer.** The single most consequential item in twenty-four hours is that **Iran's conditions expanded**. Mohsen Rezaei, installed as SNSC secretary on 9 August in place of Zolqadr, told China's ambassador on 11 August that the strait will not reopen until the United States changes its behaviour, and added a demand absent from the six published a week ago: **a region-wide ceasefire including Lebanon and Gaza**. That is not a restatement. It extends the price of reopening the Strait of Hormuz into two theatres Washington does not control, and Rezaei separately decoupled the Iran-Oman route talks from reopening altogether. Set against it, the kinetic top line is quiet for a fourteenth session — no Tier 1-confirmed strike inside Iran, no CENTCOM combat release since 29 July, and **UKMTO recording no confirmed attack inside the strait itself across 9–11 August**, the first such multi-day gap in the core chokepoint. But the violence has not stopped; it has moved. **The United States fired Hellfire missiles into the engine room of a crewed container ship** in the Gulf of Oman, the third vessel disabled under the blockade, and the President described the strait as American property. **Six people were killed on a food carrier off Al Mokha in a strike whose second missile hit the rescue**. Mediation is live — Qatar calls the talks 'critical', Pakistan's interior minister met both Pezeshkian and Araghchi in Tehran — but a downgrade needs a published instrument and a sustained no-casualty window, and this was the week the war started killing merchant seafarers.

(iv) **US inflation impulse — held at 5 (max), and the print that could test it lands after this snapshot.** 5Y5Y closed 2.3360% on 11 August, **a tenth consecutive close above the 2.30% trigger** that fired this channel on 31 July, clear by 3.60 bp, with the run beginning on 29 July. It is 19.40 bp above the 2.142% anchor at which the downgrade sits and 2.37 bp below its own war record. The forward eased 0.54 bp on the session and a further 0.23 bp this morning — drifting, not breaking. **The 10-year breakeven is the one to watch**: at 2.2621% it is a third consecutive close above the 2.2569% pre-war anchor, but the margin has narrowed from 1.86 bp on Monday to **0.52 bp**, so spot compensation is falling back toward the anchor while the forward holds its break. That divergence is the signature of a market pricing a level shift in energy rather than a change in the inflation process. **July CPI released at 08:30 ET today — 20:30 Singapore, after this snapshot — with consensus at +0.1% m/m and 3.4% y/y headline and +0.2% and 2.5% core**. The context is unusual and worth stating plainly: the market is not pricing a cut, it is pricing a **hike**, at roughly 50% for September against about 62% before the payrolls miss, and three FOMC members dissented for a hike in July. Goolsbee this week: inflation is 'the biggest problem facing the economy'. A soft print would not resolve this channel, because at 2.3360% the forward is pricing the strait rather than the basket.

(v) **Political stress — held at 5 (max), and the retreat is now 9 cents from the condition named for it.** AUTMUSAG backfilled 10 August at **\$4.69 — a fourth consecutive confirmed close below the \$4.75 trigger and a SIXTH consecutive decline**, the sequence running \$4.76, \$4.75, \$4.74, \$4.72, \$4.70, \$4.69 from 3 to 10 August. The condition set in the last edition is three consecutive closes at or below \$4.60 with no intervening print above \$4.70, and the series is now nine cents from the first leg of it. Corroboration arrived from two independent directions: **the DOE weekly series posted \$4.006 for the week to 10 August, down 7.3 cents**, matching the EIA's published retail survey, and AAA's own regular-grade daily average printed \$4.0116 on 11 August. Three things argue against reading the fall as a trend that will reach \$4.60. First, **the last decline was one cent against two the day before** — the series is decelerating as it approaches the level where refining margins bind. Second, the series is dark for 11 and 12 August and **\$9.09 of weekly crude has not reached the pump**, which takes one to two weeks. Third, and most concretely, **AAA diesel ROSE 2.17 cents on 11 August to \$5.3213** after a week of declines, with distillate stocks about 12% below the five-year average and Jizan's 400k b/d out to 30 August. Diesel turning before gasoline is what a refining constraint looks like arriving at the pump.

(vi) **Maritime denial — held at 5 (max), and this edition reports four transit counts rather than one.** The strait is closed on day 164. **UKMTO Update 083 of 11 August has been retrieved** — 081 remains unretrievable and 084 is not yet published — and holds every threat level unchanged from Update 082, with Hormuz at SEVERE and 'deliberate hostile action highly likely'. Its annex is the reason this section needs care. **On the S&P/SeaVision universe it uses (vessels over 1,000 dwt, excluding Iranian port calls), Hormuz transits were 10 on 8 August, 3 on 9 August and 4 on 10 August. The same document records 42 US NCAGS-facilitated transits across the 9–10 August 48 hours.** Kpler, via Reuters, counts six crossings on 10 August against its own 10-day average of about eleven and a pre-war baseline of roughly 130 to 140 a day; via ABC it counts eight; Windward counts seven in the 24 hours to 9 August on its own dashboard. **Four credible sources, four numbers, four vessel universes, and one of them is an order of magnitude above the others because it counts a different thing.** No average is taken here and none should be. The only internally consistent week-on-week series available is Kpler's own: 15 on 7 August, 11 on 8 August, 6 on 9 August. That is the shape of the trend, and it is down. The downgrade condition — verified traffic above 25% of normal for ten sessions — is not close on any denominator, and the instrument that could start the clock has moved away: the Iranian bill would **bar** US and Israeli vessels, and Rezaei has decoupled the Oman route talks from reopening. Windward has **Kharg Island's three loading terminals idle for between 10 and 22 days depending on the terminal** — the western since 18 July, the LPG terminal since 27 July, the eastern since 30 July — with no departures since 31 July and 17 dark tankers waiting offshore, down from 18. This corrects the flat '18 consecutive days' carried in the last edition.

2.2 · What would push the shock to Stage 4

Stage 4 is a credit/auction event. Threshold A's statement leg passed benignly on 5 August and **the first of its three auction legs passed benignly yesterday.** Threshold B is satisfied on a second consecutive close.

Threshold A · 13 May 30Y auction, cleared 5.050% — one leg down, two to go, and the first was good. Treasury held every nominal coupon size on 5 August, so the supply shock did not arrive through the announcement; it has to arrive, or not, through demand. **The \$58bn 3-year on 11 August stopped through by 0.5 bp at 4.291% against a 4.296% when-issued, with a 2.71x bid-to-cover against a 2.61x six-auction average**, indirects at 64.2% in line with average, **directs at 24.0% against 21.7%** and dealers left with only 11.8% against 13.9%. A domestic bid absorbed the front end comfortably the day before CPI. That precedent is worth something and not very much: the 3-year is the least duration-sensitive leg of a refunding and the two that carry term premium come next. **\$42bn of 10-years prices at 1pm ET today, four hours after July CPI, and \$25bn of 30-years tomorrow**, all settling 17 August — \$125bn refunding about \$96.3bn and raising roughly \$28.7bn of new cash. The 11 August 30Y close of 5.2403% is **19.03 bp above the May stop**, against 20.10 bp yesterday and 11.80 bp on 5 August. The 9 July re-opening cleared 5.058% with a 0.3 bp stop-through, so there is recent precedent for the long end absorbing supply at these levels — but not with crude up \$9.09 on the week and a CPI print landing between the 10-year and the 30-year. A tail tomorrow re-arms this threshold.

Threshold B · 30Y above 5.20% with 10Y above 4.65% — SATISFIED on the 11 August close, for a second consecutive session, and satisfied into both remaining auctions. The 30Y closed 5.2403% and the 10Y 4.6883%, clearing both legs by 4.03 and 3.83 bp. The margins are thinner than Monday's 5.10 and 5.67 bp, which is the point: this threshold has now been satisfied twice running, and both times by less than 6 bp on either leg. **It has cycled four times in a fortnight** — satisfied 29 July to 3 August, out 4 and 5 August, in 6 August, out 7 August, in 10 and 11 August. This monitor holds both readings and neither cancels the other. A test that flips this often is measuring a long end sitting on its trigger rather than breaking through it, which argues against treating any single satisfaction as a regime. And a test satisfied on the two sessions before a 30-year auction, with the 30Y 19 bp above the last comparable stop, is in exactly the configuration where a bad Thursday does the most damage. The fiscal arithmetic underneath is unchanged: Treasury still needs \$68bn more this quarter than it projected in May and has chosen to fund it in bills and buybacks.

Threshold C · MOVE above 130 — far off, and the number at the other end has now moved decisively the wrong way. MOVE closed 77.92 on 11 August, up 2.46 and the highest since 3 August, which is 52.08 points below the threshold and 37.10 below the 115.02 war high of 26 March. C is not close and has not been for four months. The observation that matters is at 75. **Friday's 72.03 close satisfied the Treasury downgrade's volatility leg for the second time in this war; MOVE has since risen on two consecutive sessions to 5.89 points above it.** Across four sessions the leg has been satisfied, given back, and then left behind entirely. The structural feature this monitor keeps returning to is intact and is now wider: at 77.92 the index is 4.54 points above its pre-war anchor while the 30-year sits **62.97 bp above its own**. A rates-volatility surface trading close to normal against a term premium that is not is precisely what makes tomorrow's auction worth watching — the long end is priced for calm at a yield that is anything but, and today's CPI is the event most likely to disturb that.

2.3 · Cross-asset

The cross-asset story this session is dispersion, and it is the widest this monitor has recorded. **Crude and European gas are pricing a structural closure; rates volatility, equity volatility and the dollar are pricing nothing at all.** Brent has risen \$9.09 on the week to a \$14.47 premium over pre-war, the EIA has raised its 3Q26 forecast by \$11, and the Brent–WTI active spread has widened to **\$5.70**, the widest since 31 July, on four of the last five sessions — the seaborne barrel carrying the dislocation and the landlocked one left behind. TTF at €59.905 is **91.8% above pre-war** and within €3.74 of its war record, having fallen €2.063 on Tuesday and taken most of it back this morning. Against that, **VIX closed 15.28, within 38 cents of the war low set five days ago**, on a day the United States fired missiles into a merchant ship and six people were killed on a food carrier. The dollar moved 5 cents. Henry Hub at \$2.777 is still **9.3% BELOW pre-war** and the EIA cut its 3Q26 forecast by 50 cents, so the routing signature holds: this is a chokepoint shock, not a global energy shock, and the

agency now forecasts it staying that way. The one cross-current worth respecting is the curve. 2s10s closed **+47.039 bp, the steepest since 21 May**, a third consecutive steepening — and it has now steepened through a front-end-led bull session, a long-end-led bear session and a flat one. **A curve that steepens regardless of which end is moving is repricing term premium, not a Fed path**, which is the right frame for reading tomorrow's 30-year.

3 · Shock score

Total: 27/30 — CRISIS band. Band thresholds: 0–7 watch · 8–14 stress · 15–21 systemic-risk watch · 22–30 crisis.

Channel	Score	Rationale	Triggers
Maritime denial	5/5	Held at 5 (max). Strait closed, day 164. UKMTO Update 083 (11 Aug) retrieved — all threat levels unchanged, Hormuz SEVERE. Four credible sources give four counts for 10 Aug and they must not be spliced: UKMTO's own annex (S&P/SeaVision, over 1,000 dwt, excl. Iranian port calls) 4; Kpler via Reuters 6 against its own 10-day average of ~11 and pre-war ~130–140/day ; Kpler via ABC 8; UKMTO's US NCAGS-facilitated count 42 over the 9–10 Aug 48 hours . Kpler's internally consistent series runs 15 / 11 / 6 across 7–9 Aug. Kharg's three terminals idle 10–22 days depending on terminal, no departures since 31 Jul, 17 dark tankers waiting.	↑ at max. ↓ verified reopening with traffic above 25% of normal for 10 sessions → to 3–4. Not close on ANY denominator. The Iranian bill would BAR US and Israeli vessels, and Rezaei has decoupled the Oman route talks from reopening.
Oil price shock	2/5	Held at 2 — and the upgrade gap closed another 73 cents. Last confirmed close \$86.62 (11 Aug), +\$0.73, the highest since 31 Jul ; \$86.95 intraday with the session LOW above yesterday's close. That is \$8.38 below the \$95 upgrade trigger and \$14.14 above the \$72.48 anchor , against \$9.11 / \$13.41 yesterday. The EIA's August STEO raised 3Q26 Brent from \$74 to \$85 and now assumes constraints persist through August ; Hormuz flows 4.9 mb/d in 2Q26 vs 21.6 mb/d in 4Q25 (~23%); July shut-ins 5.5 mb/d. Counterweight: API +9.07 mn bbl surprise build ; EIA weekly today.	↑ Brent above \$95 sustained → to 3. \$8.38 away and closing on six of the last seven sessions . ↓ mediated pause + close at/below \$72.48 → to 1. Both legs further away again.
US inflation impulse	5/5	Held at 5 (max). 5Y5Y closed 2.3360% on 11 Aug — a TENTH consecutive close above the 2.30% trigger (run began 29 Jul), clear by 3.60 bp and 2.37 bp off the war record. BE10 2.2643%, a third close above the 2.2569% anchor but the margin narrowing to 0.52 bp intraday — spot drifting back while the forward holds. July CPI releases at 08:30 ET today, AFTER this snapshot ; consensus +0.1% m/m and 3.4% y/y headline, +0.2% and 2.5% core. The market prices a September HIKE near 50%, from ~62% pre-payrolls.	↑ at max. ↓ 5Y5Y sustained at/below the 2.142% pre-war anchor → to 4 (19.40 bp away).
Treasury stress	5/5	Held at 5 (max). The volatility leg has been abandoned, not narrowly missed . MOVE closed 72.03 on 7 Aug (below the 75 line), then 75.46, then 77.92 on 11 Aug — highest since 3 Aug and 5.89 pts above the Friday low . The 30Y leg fails by 24.03 bp . The 3Y auction stopped through 0.5 bp at 4.291% on a 2.71x cover with directs at 24.0% — the first refunding leg passed cleanly . 10Y prices today four hours after CPI, 30Y tomorrow, with Threshold B satisfied going in and the 30Y 19.03 bp above the 13 May stop.	↑ at max. ↓ 30Y close under 5.00% with MOVE under 75 sustained → to 4. Both legs fail; the volatility leg has moved 5.89 pts away in two sessions.
Political stress	5/5	Held at 5 (max), 9 cents from the condition named last edition. AUTMUSAG backfilled 10 Aug at \$4.69 — a fourth consecutive close below the \$4.75 trigger and a SIXTH consecutive decline (\$4.76 / \$4.75 / \$4.74 / \$4.72 / \$4.70 / \$4.69). Corroborated twice over: DOE weekly posted \$4.006 for the week to 10 Aug , matching the EIA retail survey, and AAA regular printed \$4.0116 on 11 Aug. Against it: the last fall was one cent, not two ; dark 11–12 Aug; \$9.09 of weekly crude unpassed through; and AAA diesel ROSE 2.17c on 11 Aug to \$5.3213 .	↑ at max. ↓ three consecutive AUTMUSAG closes at or below \$4.60 with no intervening print above \$4.70 → to 4. 9 cents away . The \$3.52 anchor remains the reference for a further fall to 3.
Escalation risk	5/5	Held at 5 (max). Iran's conditions EXPANDED . New SNSC secretary Mohsen Rezaei added a region-wide ceasefire including Lebanon and Gaza to the six published a week ago, said the strait stays shut until all are met, and decoupled the Oman route talks from reopening . Fourteenth session with no Tier 1-confirmed strike inside Iran and no confirmed attack INSIDE the strait 9–11 Aug — but the US put two Hellfires into a crewed container ship (3rd disabled, 55 redirected) and six died on the Tihamah off Al Mokha, the war's first shipping fatalities , the second missile hitting the rescue.	↑ at max. ↓ mediated stand-down + talks resume → to 4–3. Qatar calls the talks 'critical' and Pakistan's Naqvi met Pezeshkian and Araghchi — but a downgrade needs a published instrument and a sustained no-casualty window.
TOTAL	27/30	CRISIS band — HELD, sixth consecutive edition . Five of six channels are maxed and only oil, at 2/5, can raise this number. The defining development is not an event but an assumption : the EIA has written a five-and-a-half-month closure into its base case, raised 3Q26 Brent \$11 to \$85, and pushed residual disruption out to end-2027. Underneath it, the US disabled a crewed merchant ship, the war took its first shipping deaths, and Iran added a condition. The scale cannot register any of it.	

4 · What's changed since the last edition (11 Aug AM → 12 Aug AM)

A single-session window. Score holds at 27/30; no channel moved. The EIA abandons its reopening assumption and raises 3Q26 Brent \$11. The US fires on a crewed merchant ship. The war takes its first shipping fatalities. Iran adds a condition. The 3-year auction stops through. Source: Bloomberg unless stated.

The EIA abandoned the reopening assumption and raised its 3Q26 Brent forecast from \$74 to \$85/bbl. The August Short-Term Energy Outlook, published 11 August with a forecast completed 6 August, discarded the July edition's premise that the 18 June memorandum had reopened the strait. Its text now reads: "We have increased our estimates of Middle East shut-in crude oil production in the coming months compared with our July forecast due to continued severe constraints on Strait of Hormuz transits, which we assume persist through August, with flows slowly increasing in September." It puts 2026 average Brent at \$87 and 4Q26 at \$78, raises 2027 average Brent from \$65 to \$69, cuts the 2026 US commercial crude stock forecast 8.6% to 396 mn bbl, raises the 2026 wholesale diesel forecast 8.5% to \$3.37 and cuts 3Q26 Henry Hub 50 cents to \$2.87/MMBtu. It estimates crude and petroleum liquids through Hormuz at 4.9 mb/d in 2Q26 against 21.6 mb/d in 4Q25 — about 23% of the pre-conflict baseline — July production shut-ins at 5.5 mb/d, global inventory draws averaging 3.8 mb/d in 3Q26, most shut-in production restored in 1Q27 and about 0.6 mb/d of disruption persisting through end-2027. The outlook assumes no additional SPR releases beyond those announced on 13 March. Source: EIA STEO, 11 August.

A US Navy helicopter fired two Hellfire missiles into a crewed container ship in the Gulf of Oman. UKMTO logged the incident at 0758 on 11 August: the Panama-flagged Vela Nova, transiting westbound in international waters 71 NM from the coast of Pakistan, reported hit by a missile from a helicopter, with the master confirming hits to the stern and steering compartment and the vessel no longer under command; the fire was extinguished and all crew were accounted for with no injuries. CENTCOM said a US Navy MH-60 fired two Hellfire missiles into the engine room, disabling the steering gear, after the vessel attempted to violate the blockade by sailing toward an Iranian port and ignored repeated warnings, and gave the cumulative blockade tally as 55 commercial vessels redirected, 3 disabled and 2 boarded — against 55/2/2 in UKMTO's Update 083, a one-vessel lag in the primary document. Reuters independently verified the vessel identity. Hours later Trump told reporters: "We have total control over the Hormuz Strait right now. They don't have control. We have total control. We own it." Source: UKMTO, CENTCOM, Reuters, Al Jazeera, Stars and Stripes.

Six people were killed on a cargo ship off Al Mokha — the war's first shipping fatalities — and the second missile hit the rescue.

The Egyptian-owned, Tanzanian-flagged general cargo ship Tihamah, carrying food and stationary in Yemeni territorial waters about 5 NM offshore, was struck midships by three ballistic missiles on 11 August. Four crew were killed — three Pakistani and one Indonesian. UKMTO's own record states that the Yemeni navy went to assist and came under fire; a further missile struck the rescue operation, killing two members of the government-allied National Resistance Forces. Six dead in total with about ten wounded. Al Jazeera assesses these as the first deaths caused by Houthis strikes on shipping since the war on Iran began in late February. The Houthis have not claimed the attack; SABA reported an attack on "a Saudi ship carrying military equipment" without naming a vessel, a characterisation the ship's flag, ownership and cargo contradict, and it is carried here as a Tier 3 claim only. Early CNN reporting describing a Saudi-owned vessel with three dead was superseded. Source: UKMTO WARNING 110-26, Yemeni Transport Ministry via Al Jazeera, France 24 and AP; SABA (Tier 3).

Iran added a condition: a region-wide ceasefire including Lebanon and Gaza. Mohsen Rezaei, installed as Supreme National Security Council secretary on 9 August in place of Mohammad Baqer Zolqadr, told China's ambassador in Tehran on 11 August that "as long as the US does not change its behaviour and accept Iran's conditions, the Strait of Hormuz will not be reopened", and published a fuller statement adding a demand absent from the six conditions issued a week earlier: the strait remains closed until the United States ends the war and blockade, releases Iran's frozen assets and agrees to a region-wide ceasefire including in Lebanon and Gaza. He separately reaffirmed that any Iran–Oman route agreement is separate from reopening. There was no immediate comment from Washington. Rezaei is the more outspoken of the two men and the change followed a six-post military reshuffle. Source: Reuters via Al Jazeera, 12 August; Tasnim (Tier 3).

The 3-year auction stopped through by half a basis point, and the two legs that carry duration come next. Treasury sold \$58bn of 3-year notes on 11 August at a high yield of 4.291% against a 4.296% when-issued at 1pm ET — a 0.5 bp stop-through against a flat six-auction average — on a bid-to-cover of 2.71x against a 2.61x average, with indirects at 64.2%, directs at 24.0% against a 21.7% average and dealers taking only 11.8% against 13.9%. A domestic bid absorbed the front end comfortably the day before CPI. \$42bn of 10-years price at 1pm ET on 12 August four hours after the CPI release, and \$25bn of 30-years on 13 August, all settling 17 August. The July 10-year reopening drew an exceptional 81.5% indirect bid at 4.580%; the 9 July 30-year reopening cleared 5.058% with a 0.3 bp stop-through. Source: US Treasury; RTTNews and Newsquawk auction data.

Qatar called the Iran–Oman talks "critical" and Pakistan's interior minister met both Pezeshkian and Araghchi. Qatari foreign ministry spokesman Majed al-Ansari said on 11 August that the Iran–Oman talks on Hormuz were at a "critical point" and that "we have heard positive statements from both capitals in the recent couple of days", with Qatar's priority the reopening of the strait, maintaining the ceasefire and pushing the negotiation forward. Pakistani interior minister Mohsin Naqvi arrived in Tehran on 11 August and met President Pezeshkian and Foreign Minister Araghchi; Defence Minister Khawaja Asif said Washington and Tehran were approaching "some sort of an arrangement". Both are characterisations by mediators rather than agreed outcomes, and they sit directly against Rezaei's expansion of Iran's conditions the same day. Source: ABC News, Al Jazeera, Bloomberg, AFP.

UKMTO Update 083 was retrieved, and it records no confirmed attack inside the strait across 9–11 August. The advisory holds every threat level unchanged from Update 082 — Hormuz SEVERE with "deliberate hostile action considered highly likely", Gulf of Oman, Bab el-Mandeb and Gulf of Aden SUBSTANTIAL, Arabian Gulf MODERATE — and states that IRGC harassment activity persisted "notwithstanding a lack of confirmed reports", including hailing, UAV overflight and targeted surveillance. Total confirmed incidents since 1 March rose from 84 to 86, and both additions were outside the strait proper. That is the first multi-day gap in the core chokepoint in some time and it is reported here as a genuine, if narrow, counter-indicator. Four vessels remain held: MT Honour 25, MV Sward, MT Eureka and MT Asana, the last newly listed. Update 081 could not be retrieved and 084 has not published. Source: UKMTO JMIC Advisory Note Update 083, 11 August.

The API reported a surprise 9.07 million barrel crude build, and the EIA weekly lands today. The American Petroleum Institute's private estimate for the week to 7 August, released on the evening of 11 August, showed a crude build of 9.072 million barrels against an expected draw of 0.5 million and a prior build of 2.69 million. It is directional only and the API is not the EIA, but it is the first material bearish inventory signal in some weeks and it lands into a Brent price that has risen \$9.09 on the week. The EIA Weekly Petroleum Status Report is due 12 August; the last published data, for the week to 31 July, had commercial crude at 407.0 mn bbl, gasoline 209.7 mn, distillate 107.2 mn and about 12% below the five-year average, and refinery utilisation at 96.5%. Source: API via Newsquawk; EIA.

5 · Scenario map · next 7 to 30 days

Scenario	P	Description	Market path
Deal collapse — talks stall on terms	38%	Higher, and modal for a third edition. Iran's conditions did not soften over 24 hours — they expanded , with Rezaei adding a region-wide ceasefire covering Lebanon and Gaza and decoupling the Oman route talks from reopening. That extends the price of the strait into theatres Washington does not control. Trump's "we own it" and a US missile strike on a merchant ship point the same way. The two published positions are further apart than when this line was written.	Brent \$88–105; oil to 3 on a sustained break; Threshold B holds; score 28.
Return to full war	24%	Lower for a fourth edition, on capacity rather than intent. A fourteenth session with no Tier 1-confirmed strike inside Iran; CENTCOM's release index still shows nothing since 29 July; Al Jazeera characterises attacks as "mostly paused since a 13-day escalation in July"; the Pentagon's 9 Aug memo cites depleted interceptor stocks. Tehran's six-post reshuffle and the order to merge the General Staff with Khatam al-Anbiya read as consolidation for duration.	Brent \$105–140; MOVE above 90; oil to 3–4; score 28–29 (only oil can rise).
Contained but violent — blockaded stalemate	21%	Higher, and this is precisely what the session looked like. No state-on-state exchange and no confirmed attack inside the strait across 9–11 Aug — yet the US disabled a crewed container ship with Hellfire missiles and six people died on a food carrier off Al Mokha. The violence has migrated from the chokepoint to the approaches and from states to shipping , and the score cannot move because five of six channels are pinned at 5.	Brent \$80–95; MOVE 74–84; risk premium \$8–20/bbl; score holds 27.
Regional relapse — Gulf energy infrastructure hit	12%	Slightly lower on a quiet 24 hours for infrastructure specifically — no new strike on a Gulf facility, no second attributed IRGC strike on a Gulf-state vessel, and no GCC kinetic retaliation after 8 Aug. Exposure is undiminished though: Jizan out to 30 Aug, spare capacity ~0.17 mb/d on the July IEA estimate, Kharg idle, and the SPR below 300 mb.	Brent \$150+; emergency policy response; HY spreads above 500 bp; score 29–30.
Mediated pause — the strait reopens	5%	Lower again, and the lowest this line has been. It falls despite genuinely positive mediation noise — Qatar calls the talks "critical", Pakistan's Naqvi met Pezeshkian and Araghchi, and Oman is in fact active, having condemned the strait attacks on 8 Aug (see the correction in §7) . It falls because the principal moved the other way: Iran added a condition Washington cannot deliver, and explicitly severed the route talks from reopening. Live channels are not the same as overlapping positions.	Brent \$70–80; MOVE under 75; maritime→3–4 on verified traffic, oil→1, escalation→4; score falls toward 21–23.

Probability shifts from the 11 Aug edition: **deal collapse +2 (36→38)**, because Iran's conditions expanded rather than softened; **contained-but-violent +2 (19→21)**, because that is what the session was — a US strike on a merchant ship and six deaths at sea with no state-on-state exchange; **full war –2 (26→24)** on a fourteenth quiet session and reported munitions constraints; **regional relapse –1 (13→12)** on a quiet 24 hours for Gulf infrastructure; **mediated pause –1 (6→5)**, a new low, despite live mediation channels, because the principal added a condition and decoupled the route talks. Probabilities sum to 100. **The two paths in which the strait stays shut now carry 59% between them, the highest this map has recorded.**

6 · Watchlist · next 24 to 72 hours

July CPI at 08:30 ET today — released after this snapshot and four hours before the 10-year auction. Consensus is +0.1% m/m and 3.4% y/y headline, +0.2% m/m and 2.5% y/y core, against June's 3.5% and 2.6%; CNBC reported prediction-market traders positioned below the Dow Jones consensus. The framing that matters is that the market is pricing a September HIKE at roughly 50%, down from about 62% before the payrolls miss, with three FOMC members having dissented for a hike in July and Goolsbee calling inflation the biggest problem facing the economy. Schwab's Collin Martin put it plainly: last week's jobs report allows the Fed to be patient, but a hot CPI would likely reverse that. A hot print lands directly on a \$42bn 10-year auction the same afternoon and a \$25bn 30-year the next day, with Threshold B satisfied going in. Because the 08:30 ET release is 20:30 Singapore, the next edition's snapshot is the first clean read on the reaction.

The 10-year today and the 30-year refunding leg tomorrow — the two legs that carry duration. The 3-year passed cleanly yesterday, stopping through 0.5 bp at 4.291% on a 2.71x cover with directs at 24.0%, but it is the least duration-sensitive leg of the refunding. \$42bn of 10-years prices at 1pm ET today and \$25bn of 30-years tomorrow, all settling 17 August. The 11 August 30Y close of 5.2403% is 19.03 bp above the 13 May stop of 5.050%; the 9 July reopening cleared 5.058% with a 0.3 bp stop-through, which is the benign precedent, but it was set without crude up \$9.09 on the week and without a CPI print between the two auctions. A tail tomorrow re-arms Threshold A. Watch the indirect share on the 10-year specifically: July's 81.5% was exceptional and a sharp fall would say more than the yield.

The EIA weekly today, against a 9.07 million barrel API build — and the SPR line. The API's private estimate for the week to 7 August showed a crude build of 9.072 mn bbl against an expected draw of 0.5 mn. If the EIA confirms anything like it, that is the first material bearish inventory signal into a market that has added \$9.09 to Brent in a week, and it would sit awkwardly against the STEO's own forecast of 3.8 mb/d of global inventory draws in 3Q26. Watch also the SPR line: the last figure was 298.7 mn bbl on 10 August, down 6.1 mn on the week and the first sub-300 reading since January 1983, with DOE putting the minimum for safe operation at about 70 mn bbl. The STEO assumes no additional releases beyond those announced on 13 March.

The IEA Oil Market Report published today — and the spare-capacity figure this monitor has carried since 10 July. The August OMR launched at 10:00 Paris time on 12 August alongside the Annual Statistical Supplement, and its content was not yet indexed at this snapshot. The number to look for is effective OPEC+ spare capacity: the 0.17 mb/d figure quoted throughout this monitor dates from the 10 July report and has not been refreshed in a month, during which the strait has stayed shut and the EIA has revised its own shut-in estimates upward. The July OMR also had total Gulf oil exports at 16.1 mb/d in June against a 24 mb/d pre-war average and global supply 9.4 mb/d below pre-war. The August OPEC MOMR date remains unconfirmed.

Whether a second US strike on a merchant vessel follows — and whether any flag state responds. The Vela Nova is the third vessel disabled under the blockade and the first in this reporting sequence where the United States fired on a crewed merchant ship in international waters. No crew were hurt, but Hellfire missiles into an engine room and a steering compartment create a live pathway to civilian mariner deaths under US fire, and the President's "we own it" framing raises rather than lowers the odds of an Iranian response framed as defensive. Watch for a Panamanian or owner-state protest, any IMO referral, and whether CENTCOM posts the statement to its public release index — it went out via its X account and the index still shows no combat release since 29 July.

AUTMUSAG's next print against the \$4.60 condition — and whether diesel keeps turning up. The scored series has four consecutive closes below the \$4.75 trigger and six consecutive declines, ending at \$4.69 on 10 August, and is dark for 11 and 12 August. The named condition is three consecutive closes at or below \$4.60 with no intervening print above \$4.70, which is nine cents away. Three things argue the fall stalls before it gets there: the last decline was one cent rather than two; \$9.09 of weekly crude reaches the pump with a one to two week lag; and AAA diesel rose 2.17 cents on 11 August to \$5.3213 after a week of declines, with distillate stocks about 12% below the five-year average and Jizan's 400k b/d out to 30 August. Refining, not crude, remains the binding constraint.

Unresolved and carried rather than closed. UKMTO Update 081 could not be retrieved for a second consecutive edition and 084 has not published — the latter matters because Update 083 still assesses that direct hostile targeting of non-Saudi commercial shipping "is not indicated at present", an assessment the Tihamah killings put under strain. The Minoan Pioneer's attribution, salvage and missing third engineer produced no reporting after 7 August; no group has claimed it. The 6 August Kumzar explosions have no attribution. The contested Qeshm incident of 6 August was never resolved — Tasnim's promised follow-up has not appeared and the Hormozgan provincial denial stands. The Hormuz fee bill has not reached the floor or the Guardian Council, and no Iranian government official has disowned it. No war-risk insurance figure newer than Marsh's 7.5–10% of hull value of 22 July could be sourced.

7 · Source log · this edition

Tier 1 — primary market data. Bloomberg Terminal extract (US Iran BBG Data.xlsx, 159 data rows × 99 columns, restated front-month continuation series). Tickers: CO2/CL2 Comdty (front-month; **last confirmed close \$86.62 / \$81.95 on 11 Aug, the highest Brent close since 31 Jul**; intraday \$86.95 / \$82.29 with a Brent high of 87.59 and a low of 86.77 — **the low above the prior close**); COA/CLA Comdty (active, unscored — \$89.38 / \$83.68, a **\$5.70 spread, the widest since 31 Jul**); NGA (\$2.777 intraday, 11 Aug close \$2.767, against the \$2.640 war low of 6 Aug); TZTA (€59.905 intraday; the 11 Aug close of €58.735 fell €2.063, and the 24 Jul war record of €63.649 is €3.744 away); JGLA (**no print 11 or 12 Aug — a second consecutive dark session**, last ¥3,359 on 10 Aug, flagged and NOT carried); **USGG2YR/5YR/10YR/20YR/30YR — the full curve PRINTED on 12 Aug after a blank 11 Aug row**, intraday 4.2137 / 4.3835 / 4.6823 / 5.2306 against 11 Aug closes of 4.2138 / 4.3888 / 4.6883 / 5.2403; USYC2Y10 (+46.652 intraday; the 11 Aug close of **+47.039 was the steepest since 21 May**); USGGBE10 (2.2621 intraday, 2.2643 close — a third close above the 2.2569 anchor, **margin narrowing to 0.52 bp**); USGG5Y5Y (2.3337 intraday; the 11 Aug close of **2.3360 was a TENTH consecutive close above the 2.30% trigger**, the run beginning 29 Jul); SOFRRATE (no print 11 or 12 Aug — **three consecutive dark sessions**; last 3.62 on 7 Aug, itself a backfill); MOVE (**77.92 on the 11 Aug close, +2.46 and the highest since 3 Aug**; no 12 Aug print) and VIX (15.28, within 38 cents of the 7 Aug war low of 14.90; no 12 Aug print); DXY (99.828 close, 99.880 intraday); AUTMUSAG (AAA all-grades pump — score reference; **10 Aug BACKFILLED at \$4.69, a fourth consecutive close below the \$4.75 trigger and a sixth consecutive decline**; blank 11 and 12 Aug) and USRFRUSA (DOE regular spot, weekly — corroboration; a **NEW print of \$4.006 for the week to 10 Aug**, from \$4.079). **Data-integrity note:** the stale-row check clears and it clears informatively. The 11 Aug row refreshed with true closes differing materially from the intraday values published for it, and the 5Y5Y field that read 2.3414 on 11 Aug — **identical to the 10 Aug close to four decimal places, and treated in that edition as a stale carry rather than a reading — settled at 2.3360**, confirming the \$9.19 field-level judgement. Two series backfilled, both for 10 Aug: AUTMUSAG at \$4.69 and USRFRUSA at \$4.006. The 27 Feb 2026 anchor was re-verified field by field and is unchanged.

Tier 1 — news and institutional. EIA (August Short-Term Energy Outlook, published 11 Aug, forecast completed 6 Aug: the July assumption that the 18 June memorandum reopened the strait is discarded and replaced with 'continued severe constraints on Strait of Hormuz transits, which we assume persist through August', with flows slowly increasing in September; 3Q26 Brent raised from \$74 to \$85/bbl, 4Q26 \$78, 2026 average \$87, 2027 average raised from \$65 to \$69; 2026 US commercial crude stocks cut 8.6% to 396 mn bbl; 2026 wholesale diesel raised 8.5% to \$3.37 and wholesale gasoline 5.9% to \$2.91; 3Q26 Henry Hub cut 50 cents to \$2.87/MMBtu; retail gasoline \$3.78/gal and diesel \$4.85/gal for 2026; crude and petroleum liquids through Hormuz 4.9 mb/d in 2Q26 against 21.6 mb/d in 4Q25; Bab el-Mandeb 8.1 mb/d in 2Q26 from 5.4 in 4Q25 on Saudi rerouting to Yanbu; July production shut-ins 5.5 mb/d; 3Q26 global inventory draws 3.8 mb/d; most shut-in production restored 1Q27 with ~0.6 mb/d persisting through end-2027; no additional SPR releases assumed beyond 13 March; Weekly Petroleum Status Report due 12 Aug, the last published showing crude 407.0 mb, gasoline 209.7 mb, distillate 107.2 mb and ~12% below the five-year average, utilisation 96.5%; the Gasoline and Diesel Fuel Update for the week to 10 Aug at regular **\$4.006** and on-highway diesel **\$5.257**, from \$4.079 and \$5.348). **UKMTO (JMIC Advisory Note Update 083 of 11 Aug, retrieved: all threat levels unchanged from Update 082 — Hormuz SEVERE with 'deliberate hostile action considered highly likely', Gulf of Oman, Bab el-Mandeb and Gulf of Aden SUBSTANTIAL, Arabian Gulf MODERATE; Hormuz transits on the S&P/SeaVision universe of 10 on 8 Aug, 3 on 9 Aug and 4 on 10 Aug, and 42 US NCAGS-facilitated transits over the 9–10 Aug 48 hours; confirmed incidents since 1 March rising 84 to 86 with both additions outside the strait; the Vela Nova incident at 0758 on 11 Aug; WARNING 110-26 on the Al Mokha strike; four vessels still held. Update 081 could not be retrieved and 084 has not published).** **CENTCOM** (statement of 11 Aug: a US Navy MH-60 fired two Hellfire missiles into the Vela Nova's engine room after repeated warnings; **55 vessels redirected, 3 disabled, 2 boarded**; the public release index still shows no combat release since 29 July, the only August item a 5 Aug change of command). **Reuters** (independent verification of the Vela Nova's identity; Rezaei's 11 Aug statement that the strait will not reopen until the US accepts Iran's conditions and agrees a region-wide ceasefire including Lebanon and Gaza; Kpler transit counts). **Al Jazeera, France 24, AP and the Yemeni Transport Ministry** (the Tihamah struck by three ballistic missiles off Al Mokha on 11

Aug, four crew killed — three Pakistani and one Indonesian — with a further missile striking the rescue and killing two National Resistance Forces members, six dead in total; assessed as the first deaths from Houthis strikes on shipping since the war began). **ABC News, Bloomberg and AFP** (Qatar's Majed al-Ansari on 11 Aug that the Iran–Oman talks are 'at a critical point' with positive statements from both capitals; Pakistani interior minister Mohsin Naqvi meeting Pezeshkian and Araghchi in Tehran on 11 Aug; Defence Minister Khawaja Asif on 'some sort of an arrangement'). **US Treasury, RTTNews and Newsquawk** (the \$58bn 3-year of 11 Aug at a high yield of **4.291% against a 4.296% when-issued, a 0.5 bp stop-through, bid-to-cover 2.71x against a 2.61x six-auction average, indirects 64.2%, directs 24.0% against 21.7%, dealers 11.8% against 13.9%**; \$42bn of 10-years on 12 Aug and \$25bn of 30-years on 13 Aug, settling 17 Aug; the July 10-year reopening at 4.580% with an 81.5% indirect bid; the 9 July 30-year reopening at 5.058% with a 0.3 bp stop-through). **BLS** (July CPI scheduled 08:30 ET on 12 Aug; June headline -0.4% m/m and +3.5% y/y, core unchanged m/m and +2.6% y/y). **Charles Schwab and investingLive citing CME FedWatch** (September hike probability near 50% on 11 Aug, from about 62% before the 7 Aug payrolls report; Collin Martin that a hot CPI would reverse the Fed's patience). **API via Newsquawk** (a crude build of **9.072 mn bbl** for the week to 7 Aug against an expected 0.5 mn draw). **CNBC citing DOE** (the SPR at 298.7 mn bbl on 10 Aug, -6.1 mn on the week and the lowest since January 1983, ~116 mn below mid-March; DOE putting the safe-operation minimum at ~70 mn bbl). **IEA** (August Oil Market Report launched 12 Aug, content not indexed at this snapshot; the ~0.17 mb/d effective spare-capacity figure still dates from the 10 July report, which also had Gulf oil exports at 16.1 mb/d in June against a 24 mb/d pre-war average). **AAA** (regular **\$4.0116** and **diesel \$5.3213, UP 2.17 cents**, on 11 Aug, against \$4.0892 and \$5.3715 a week earlier). **Windward MIOC** (7 Hormuz transits in the 24h to 9 Aug; **Kharg Island's three terminals idle between 10 and 22 days — the western since 18 Jul, the LPG terminal since 27 Jul, the eastern since 30 Jul — with no departures since 31 Jul and 17 dark tankers waiting, down from 18**; 47 stationary vessels counted in the north Hormuz waiting area). **Reuters citing Kpler and Vortexa** (Gulf crude exports 10.7 mb/d in July, ~40% below pre-war on a broad pre-war average and ~32% below February's 17.6 mb/d peak — the two denominators are different and are named here). **Reuters and Bloomberg citing IIR** (Aramco's 400k b/d Jizan restart delayed to 30 August; no company confirmation, unchanged since 10 Aug). **Marsh via S&P Global Commodity Insights** (Hormuz hull war risk 7.5–10% of hull value as of 22 July, still the most recent named-underwriter figure; nothing dated 11–12 Aug could be sourced). **Oman Ministry of Foreign Affairs** (fm.gov.om, checked directly — see the correction below).

Tier 3 — state media and combatant claims (labelled). **SABA** reported an attack on 'a Saudi ship carrying military equipment' in Bab al-Mandeb without naming a vessel; the Tihamah's Tanzanian flag, Egyptian ownership and food cargo contradict that characterisation, **the Houthis have not claimed the attack, and no Tier 1 outlet corroborates the SABA framing.** **Tasnim** carried Rezaei's statement, which Reuters independently reported. **IRNA** remains the primary source for the 9 August parliamentary commission approval of the Hormuz bill framework 'without any opposing votes' — corroborated by Anadolu, Al-Monitor and Iran International but **with no Reuters, AP or AFP confirmation**, so the 'no opposing votes' detail is Iranian-sourced and labelled as such. **CORRECTIONS AND RE-VERIFICATIONS THIS EDITION.** (i) **The claim that Oman has published nothing on Iran since 23 June is WRONG and is withdrawn.** fm.gov.om was checked directly and its ministry publishes Hormuz-relevant statements regularly: 8 July condemning the targeting of Bahrain, Kuwait and vessels in the strait; 14 July on restoring freedom of navigation and on missile threats against Saudi Arabia; 23 July on Red Sea escalation; 27 July on drone attacks on Saudi Arabia; and **8 August condemning the repeated attacks on vessels in the Strait of Hormuz**, in which it also stated that negotiations on navigation arrangements are 'progressing in a positive and constructive atmosphere'. What is true, and all that should have been claimed, is that **the most recent Oman–Iran JOINT statement is 23 June**. Two editions built an argument on Omani silence that the primary source does not support; the mediator has been active throughout, and the 8 August statement is materially more positive on the talks than this monitor has been. (ii) **ADNOC's count is 16 vessels attacked, not 15** — The National described the 8 August strike as the sixteenth, superseding ADNOC's own 7 August statement of fifteen with one crew member killed and twenty injured. (iii) **Kharg's terminals have been idle for between 10 and 22 days depending on the terminal, not a flat 18 days**, and the waiting queue is 17 dark tankers, down from 18. (iv) **UKMTO's 8 August Hormuz figure is 10 transits — 8 cargo and 2 tankers — not 8 cargo transits alone**, on the S&P/SeaVision universe. (v) **The 13 May 30-year auction cleared 5.050% and the 9 July reopening cleared 5.058%**; these are different auctions and both are quoted here explicitly to avoid the two being merged. (vi) **Three stale articles now surfacing prominently in search are NOT used:** Türkiye Today's report that parliament passed a Hormuz toll law is dated 30 March 2026 and concerns an earlier measure; Axios's 'Hormuz Coalition / Kharg Island seizure' piece is dated 16 March 2026; and CNN's initial 11 August account of the Al Mokha strike (Saudi-owned, three dead) was superseded by the six-dead, Egyptian-owned reporting used here. (vii) straits.live figures remain retracted and the IMF PortWatch transit figure remains dropped, both for the reasons given on 11 August.

8 · On-demand update protocol

#	Step	Detail
1	Refresh the Bloomberg extract	Parse the latest dated row (12 Aug, Wednesday) as intraday; re-map columns via the robust scan (front-month CO2/CL2; DXY resolves as DXY Index). The stale-row integrity check CLEARs : the 11 Aug row refreshed with true closes differing materially from the intraday values published for it. It also closes the \$9.19 field-level question opened last edition — the 5Y5Y value of 2.3414 carried on 11 Aug was indeed a stale carry, and the true close was 2.3360. Two series BACKFILLED, both for 10 Aug: AUTMUSAG \$4.69 and USFRUSA \$4.006. The full UST curve PRINTED on 12 Aug ; MOVE, VIX, SOFR, JGLA and both gasoline series did not.
2	Recompute deltas	All series: d/d is 12 Aug intraday vs the 11 Aug close; w/w is vs the 5 Aug close (five sheet-rows back); vs-pre-war against the 27 Feb 2026 anchor, re-verified field by field and unchanged. Unlike the last edition, the oil and rates bases are the same — the 11 Aug row is complete for everything except MOVE, VIX and SOFR, so no split base is needed.
3	Re-evaluate the six channels	Market channels move on confirmed closes only. No channel moved; the score holds at 27/30 for a sixth edition. Oil held at 2 (last close \$86.62 — \$8.38 below the \$95 upgrade trigger , \$14.14 above the anchor). US inflation held at 5 (5Y5Y 2.3360%, a tenth consecutive close above 2.30%, 19.40 bp above the downgrade anchor; CPI releases after this snapshot). Treasury held at 5 — MOVE has risen two sessions to 77.92, 5.89 pts above the 7 Aug low that satisfied the volatility leg , and the 30Y leg fails by 24.03 bp. Political held at 5 on a sixth consecutive decline to \$4.69, nine cents from the named condition. Maritime and escalation are event-based and both maxed.
4	Reconcile against the prior edition	The 11 Aug close ran ABOVE my Tuesday snapshot on crude and BELOW it on gas, rates and volatility — mixed for a second consecutive session. Brent \$86.62 vs a published \$85.75 (+\$0.87); WTI \$81.95 vs \$81.16 (+\$0.79); COA \$88.91 vs \$87.78 (+\$1.13); Henry Hub \$2.767 vs \$2.768; TTF €58.735 vs €61.650 (–€2.915) ; DXY 99.828 vs 99.815; and against the values CARRIED for the blank fields: 30Y 5.2403% vs 5.2510% (–1.07 bp), 10Y 4.6883% vs 4.7067% (–1.84 bp), 2Y 4.2138% vs 4.2410% (–2.72 bp), 5Y5Y 2.3360% vs a carried 2.3414% (–0.54 bp), MOVE 77.92 vs a carried 75.46 (+2.46) , VIX 15.28 vs 15.46. Running Brent snapshot-to-close gap series: –\$0.84, +\$1.97, –\$0.47, –\$3.99, +\$0.10, +\$2.26, +\$0.72, +\$0.87.
5	Update scenarios and watchlist	Re-rank catalysts: July CPI at 08:30 ET today, after this snapshot and four hours before the 10-year; the 10-year today and the 30-year refunding leg tomorrow with Threshold B satisfied going in; the EIA weekly against a 9.07 mn bbl API build; the IEA OMR and its stale spare-capacity figure; whether a second US strike on a merchant vessel follows; AUTMUSAG against the \$4.60 condition. Deal collapse 36→38, contained-but-violent 19→21, full war 26→24, regional relapse 13→12, mediated pause 6→5.

9 · Methodology

Shock-score scale. Six transmission channels (maritime denial, oil, US inflation impulse, Treasury stress, political stress, escalation risk), each 0–5, summed to 0–30. Bands: 0–7 watch · 8–14 stress · 15–21 systemic-risk watch · 22–30 crisis. Market channels move only on a confirmed close through a trigger; escalation-risk and maritime denial are event-based. Hysteresis: upgrades fire on a sustained break, downgrades only on a sustained reversal past a wider threshold. **Two standing interpretations were tested this edition and both held.** The Treasury volatility leg was satisfied on a single close on 7 August at 72.03 and has since been given back over two sessions to 77.92 — the third demonstration that a leg satisfied by one macro session is not sustained, and the gap is now 5.89 points rather than a rounding error. And the political-stress condition named in the last edition — three consecutive AUTMUSAG closes at or below \$4.60 with no intervening print above \$4.70 — proved immediately usable: the backfilled 10 August print of \$4.69 can be measured against it exactly, at nine cents, where the previous ‘sustained retreat toward \$3.52’ formulation could not have been acted on at all.

Scale cap — binding on five of six channels, and this week it hid an institutional capitulation. Maritime and escalation have been pinned at 5/5 since 10 and 9 July, Treasury since 14 July, US inflation since 31 July and political stress since 4 August. **Only oil, at 2/5, retains any upward range** — three points in a thirty-point scale, and it needs Brent above \$95 to use even one. In the session covered by this edition the US Energy Information Administration abandoned the assumption that the strait had reopened and raised its 3Q26 Brent forecast by \$11, the United States fired Hellfire missiles into a crewed merchant ship, six people were killed on a food carrier in a strike that deliberately targeted the rescue, and Iran added a region-wide ceasefire to its conditions for reopening — **and the score could not move a single point.** The 30 July and 11 August editions are the reference cases for this failure mode and this one joins them. A flat 27 is a saturated scale, not a stable situation, and readers should weight the composition commentary in section 3 at least as heavily as the total.

Data integrity this edition. The stale-row check clears, and it resolves an open question rather than merely passing. The 11 August row refreshed with true closes differing materially from the intraday values published for it, and **the 5Y5Y field that showed 2.3414 on 11 August — identical to the 10 August close to four decimal places, and therefore treated as a stale carry rather than a reading — settled at 2.3360.** The field-level version of the stale-row test was correct, and had that value been used as a fresh observation the edition would have reported a rising forward on a day it fell. Two series backfilled, both for 10 August: AUTMUSAG at \$4.69 and USFRUSA at \$4.006. **The full Treasury curve printed on 12 August** after a blank 11 August row; MOVE, VIX, SOFR and Asia LNG did not, and neither gasoline series has printed since 10 August. One field required care in the opposite direction: **the 2-year shows 4.2137 against an 11 August close of 4.2138**, which is a one-unit difference at the fourth decimal in a row where every other tenor moved — a genuine, if trivially small, print rather than a carry. Where third-party sources disagree, the disagreement is reported and **the denominator is always named.** This edition carries four separate transit counts for 10 August — UKMTO’s own S&P/SeaVision annex at 4, Kpler via Reuters at 6 against a 10-day average of ~11, Kpler via ABC at 8, and UKMTO’s US NCAGS-facilitated count at 42 across 48 hours — and takes no average across them, because they count different vessel universes and one of them counts a facilitated subset rather than total traffic. The Bloomberg extract governs for every scored series; no price, yield or spread in this document comes from a news source.

Gasoline series. Political stress is scored on AUTMUSAG (AAA all-grades retail pump; pre-war \$3.52, peak \$5.18, latest confirmed print **\$4.69 on 10 August**, backfilled in this extract — a fourth consecutive close below the \$4.75 trigger and the sixth consecutive decline, the sequence running \$4.76 on 3 August then \$4.75, \$4.74, \$4.72, \$4.70 and \$4.69 — with 11 and 12 August blank). USFRUSA (DOE regular

spot; pre-war ~\$2.94, peak \$4.50) is tracked alongside as corroboration only and has a **new print of \$4.006 for the week to 10 August**, down 7.3 cents, matching the EIA's published retail survey to the tenth of a cent. Neither series is re-based. The basis note stands: AUTMUSAG is an ALL-GRADES series and AAA's own published national average is REGULAR-grade, which printed \$4.0116 on 11 August — the same structural gap that exists at the pre-war anchor, \$3.52 against ~\$2.94, so a reader comparing the scored \$4.69 with a press report of \$4.01 is comparing different series. The trigger, the anchor and the full history are all set on AUTMUSAG and re-basing would invalidate them. **Diesel is the series that turned this session:** AAA had it at \$5.3213 on 11 August, **UP 2.17 cents** after a week of declines and still about 45 cents above a month earlier, with distillate stocks ~12% below the five-year average at the last EIA weekly and Jizan's 400k b/d out to 30 August. Refining rather than crude remains the binding constraint on the pump, and diesel turning before gasoline is what that looks like arriving.

Pre-war anchor (27 Feb 2026 close). Brent \$72.48; WTI \$67.02; 2Y 3.375%; 5Y 3.502%; 10Y 3.938%; 30Y 4.611%; 2s10s +55.64 bp; 5Y5Y 2.142%; 10Y BE 2.257%; MOVE 73.38; VIX 19.86; DXY 97.608; gasoline (AAA) \$3.52; Henry Hub \$3.06; TTF €31.23; Asia LNG ¥1,669. (Re-verified field by field — unchanged.) Brent **+20.0%**, WTI +22.8%, TTF +91.8%, Asia LNG +101.3% on its last print; the 5Y (+88.2 bp), 2Y (+83.9 bp), 10Y (+74.5 bp), 30Y (+62.0 bp), 5Y5Y (+19.2 bp), MOVE (+4.54), DXY (+2.27) and the 10Y breakeven (+0.5 bp) all sit above their anchors; only VIX (−4.58) and Henry Hub (−9.3%) are below. **Two entries in that list are worth watching for a crossing.** The 10-year breakeven is only 0.52 bp above its anchor, down from 1.86 bp on Monday, so spot inflation compensation is drifting back toward pre-war while the 5Y5Y forward holds its break 19.2 bp higher — a market pricing an energy level shift rather than an inflation-process change. And MOVE, which spent most of last week below its anchor, is now 4.54 points above it. Brent crossing +20.0% is the headline number, but the breakeven is the informative one.

Intraday caveat. The latest dated row is a Singapore-AM snapshot and US hours set the close; the error is regime-dependent rather than random. **This edition has a specific and knowable exposure: July CPI is released at 08:30 ET today, which is 20:30 Singapore, and the \$42bn 10-year auction prices at 1pm ET.** Neither is in this snapshot, both will be in tomorrow's, and the next edition's Singapore-morning cut is therefore the first clean read on the reaction to both — the \$9.14 case in which the timing works in this monitor's favour rather than against it. The 11 August reconciliation was mixed for a second consecutive session: crude closed above the snapshot while European gas, rates and the dollar closed below or flat, and the largest single miss was TTF at −€2.915. Recent Brent gaps between my snapshot and the subsequent close: −\$0.84, +\$1.97, −\$0.47, −\$3.99, +\$0.10, +\$2.26, +\$0.72, +\$0.87. CL2 remains an artifact against active CLA and the front-month/active gap is \$2.43 in Brent; the scored CO2 continuation series is unaffected. Triggers are evaluated on confirmed closes; escalation-risk and maritime denial are event-based. Restated-series levels are not comparable with pre-restatement editions, though the directional analysis is continuous.